INVESTOR INTELLIGENCE BRIEF

Apple Inc.

FY2025 financial performance, business drivers, and risk review

Coverage period: fiscal year ended September 27, 2025 | Ticker: NASDAQ: AAPL

Executive view

Overall read-through: Apple delivered a stronger FY2025, with revenue rising to $416.2 billion and net income reaching $112.0 billion. Services grew faster than the overall business and carried a materially higher gross margin than hardware. Main watch items are trade and tariff exposure, a complex global supply chain, intense product competition, and weaker Greater China sales. This is a business-quality assessment, not a stock-price target.

NET SALES	NET INCOME	OPERATING INCOME
$416.2B	**$112.0B**	**$133.1B**
+6.4% vs FY2024	+19.5% vs FY2024	Operating margin ~32.0%

GROSS MARGIN	SERVICES REVENUE	CASH & EQUIVALENTS
46.9%	**$109.2B**	**$35.9B**
Up from 46.2% in FY2024	+13.5% calculated YoY	At FY2025 year-end

What matters most

1. Services are an important growth and margin engine. Services revenue increased to $109.2B (+14% as reported by Apple), while Services gross margin was 75.4%, versus 36.8% for products. Continued growth in advertising, the App Store and cloud services could support the overall mix.

2. The iPhone remains the central revenue driver. iPhone sales were $209.6B, about half of total revenue. This creates scale and ecosystem advantages, but also means upgrade cycles and smartphone demand remain important to results.

3. Profit growth outpaced sales growth. Net income rose from $93.7B to $112.0B. Investors should monitor the durability of margins, costs of new product development, and tariff or component-cost pressure.

Source basis: Apple Inc., FY2025 Form 10-K filed with the U.S. SEC on October 31, 2025. Financial amounts are USD unless noted. See source notes on page 3.

Financial performance & business mix

Reported results; percentages marked as calculated are derived from reported figures.

Metric	FY2025	FY2024	Read-through
Net sales	$416.2B	$391.0B	+6.4% growth
Operating income	$133.1B	$123.2B	Operating margin ~32.0%, up from ~31.5%
Net income	$112.0B	$93.7B	+19.5% growth
Gross margin	46.9%	46.2%	+0.7 percentage points
Total assets	$359.2B	$365.0B	Down about 1.6%
Cash & equivalents	$35.9B	$29.9B	Cash balance increased

Revenue composition

Category	FY2025 sales	YoY change	Analyst interpretation
iPhone	$209.6B	+4%	Largest category; remains a key driver of results.
Services	$109.2B	+14%	Fastest growth among listed categories; higher-margin profile.
Mac	$33.7B	+12%	Growth aided by higher laptop and desktop sales.
iPad	$28.0B	+5%	Growth, but smaller share of total sales.
Wearables, Home & Accessories	$35.7B	-4%	Weakest listed category; warrants monitoring.

Quality of earnings: what to watch

• **Services mix:** Services revenue and gross margin improved, but durability depends on retention, platform activity, regulation and continued monetization.
• **Product economics:** Product gross margin was 36.8%, down from 37.2%; Apple cited product mix and tariff costs as factors, partially offset by favorable costs.
• **Geographic exposure:** Greater China sales declined to $64.4B from $67.0B, while the Americas and Europe grew.
• **Innovation investment:** R&D spending rose to $34.6B, reflecting the need to keep innovating in competitive markets.

Historical results do not predict future performance. This brief does not estimate future stock returns or intrinsic value.

Risk assessment & investor watchlist

Risks summarized from Apple's FY2025 Form 10-K; prioritization is analytical judgment, not company guidance.

HIGH — Trade, tariffs & geopolitical exposure

Apple identifies trade restrictions, tariffs and geopolitical tensions as potential sources of higher costs, component availability constraints and supply-chain disruption. Manufacturing relies substantially on outsourcing partners across Asia, including China mainland, India, Japan, South Korea, Taiwan and Vietnam. **Monitor:** tariff changes, supplier diversification, product pricing and gross-margin commentary.

HIGH — Product concentration & upgrade cycles

iPhone generated $209.6B, approximately half of FY2025 revenue. This supports ecosystem scale but leaves results sensitive to replacement cycles, product launches, consumer affordability and competitive product quality. **Monitor:** iPhone category growth, launch reception and installed-base engagement.

HIGH — Competition & innovation execution

Apple describes highly competitive markets, aggressive pricing and rapid technological change. It must keep introducing successful products and services while investing in R&D. **Monitor:** product adoption, R&D efficiency, Services growth and sustained differentiation.

MEDIUM-HIGH — Greater China demand

Greater China net sales declined to $64.4B in FY2025 from $67.0B in FY2024, primarily due to lower iPhone sales, partly offset by Mac. **Monitor:** regional sales trends, local competition and regulatory or trade developments.

MEDIUM-HIGH — Regulation, privacy & platform economics

As a global technology platform, Apple faces evolving regulatory requirements and legal scrutiny that can affect how products, services and third-party applications are offered. **Monitor:** material legal/regulatory filings, changes to App Store economics and compliance costs.

MEDIUM — Supply-chain resilience & service quality

Some components come from single or limited sources; disruptions, shortages, product defects or service outages could affect cost, delivery, reputation and demand. **Monitor:** supply constraints, inventory commitments, product-quality disclosures and service availability.

Bottom line

Apple's FY2025 profile combines scale, strong reported profitability and a growing Services business. The strongest positive signal is the improvement in net income alongside Services growth. Central watch items are iPhone dependence, tariff/supply-chain uncertainty, competitive pressure and regional softness in Greater China. A valuation conclusion would require current share price, forward estimates, cash-flow assumptions and peer comparisons; this brief intentionally does not make a buy/sell recommendation.

Primary sources

Apple Inc., *Form 10-K for the fiscal year ended September 27, 2025*, filed October 31, 2025. Read the filing at the U.S. SEC.

Apple Investor Relations provides annual reports and SEC filing access.

Disclaimer: Informational summary of public filings, not investment advice, a recommendation, or a forecast. Figures are rounded; calculated percentages are derived from reported figures. Verify important figures against the original filing.